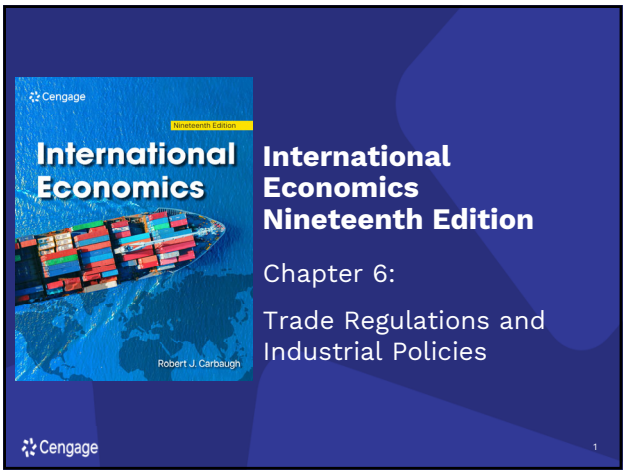


1

Chapter Objectives

After completing this chapter, you should be able to:

6.1 Summarize the major tariff policies of the United States before 1930.

6.2 Describe the principles and functions of the General Agreement on Tariffs and Trade (GATT) and World Trade Organization (WTO).

6.3 List and characterize the trade-remedy laws of the United States.

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Chapter Objectives

6.4 Describe factors influencing trade liberalization policies.

6.5 Summarize the industrial policies of the United States.

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U.S. Tariff Policies Before 1930

- U.S. tariffs fluctuated, initially for revenue, later for protection
- Early Years (1789-1800s)
  - First tariff law (1789) at 5-15%; >90% of federal revenue
- Shift in 1900s
  - Income tax (1913) reduced tariff reliance; seen as regressive
- Protectionism Rise
  - Hamilton's 1791 infant-industry argument; North supported, South opposed

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U.S. Tariff Policies Before 1930

- Key Tariffs:
  - 1828 Tariff of Abominations: 45% percent
  - 1833 Compromise: Lowered rates
  - 1840s–50s Walker Tariffs: Dropped to 23%, then 16% (1857)
  - Civil War Morrill Tariffs (1861–64): Raised for war funding
  - McKinley/Dingley (1897): 46%
  - Underwood (1913): 27%
  - Post-WWI: Fordney-McCumber (1922) at 38%

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Table 6.1 U.S. Tariff History: Average Tariff Rates

Tariff Acts and Dates	Average Tariff Rate* (%)
McKinley Act, 1890	48.4
Wilson Act, 1894	41.3
Dingley Act, 1897	46.5
Payne–Aldrich Act, 1909	40.8
Underwood Acr, 1913	27.0
Fordney–McCumber Act, 1922	38.5
Smoot–Hawley act, 1930	53.0
1930–1949	33.9
1950–1969	11.9
1970–1989	6.4
1990–1999	5.2
2000–2009	3.5
2022	2.0

*Simple average

Source: From U.S. Department of Commerce, *Statistical Abstract of the United States*, various issues, and World Trade Organization, *World Tariff Profiles*, 2019.

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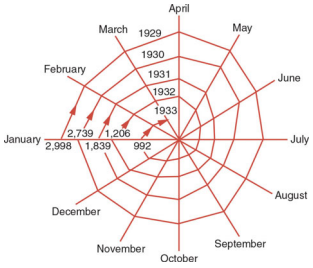
What is the Smoot-Hawley Act?

- Smoot-Hawley Act
  - Great Depression (1929); unemployment hit 25 percent (1933)
  - Raised tariffs to 53 percent (1930) to protect U.S. firms/workers
  - Opposition: Foreign protests (200 pages); 1,000 economists urged veto
  - Hoover's Stance: Signed June 17, 1930; tied to Republican protectionism
  - Retaliation: 25 nations (e.g., Spain, Canada) raised tariffs; U.S. exports fell 66 percent

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Figure 6.1 Smoot–Hawley Protectionism and World Trade, 1929–1933 (millions of dollars)



Source: Data taken from League of Nations, *Monthly Bulletin of Statistics*, February 1934. See also Charles Kindleberger, *The World in Depression* (Berkeley, CA University of California Press,

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What is the Reciprocal Trade Agreements Act?

- Post-Smoot-Hawley export decline; Roosevelt's 1933 recovery plan
- Reciprocal Trade Agreements Act (1934): Shifted tariff power to president; aimed to boost trade

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What is the Reciprocal Trade Agreements Act?

- Features:
  - Bilateral tariff cuts up to 50 percent without Congress
  - Most-favored-nation (MFN) clause: Equal tariff treatment for all partners
  - 32 agreements (1934–47); tariffs halved from 1934 levels
  - Bilateral focus; spurred need for multilateral approach

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Mini-Trade Agreements: Trade Agreements Not Approved by Congress

- Mini-Trade Agreements or Trade-Executive Agreements
  - Short, targeted deals by president, no congressional approval
  - Free trade agreements can be bilateral or multilateral
- Bilateral Trade Agreement
  - Includes two countries which agree to reduce trade restrictions to increase business opportunities between them

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Mini-Trade Agreements: Trade Agreements Not Approved by Congress

- Multilateral Trade Agreement
  - Includes three or more countries and is the most complex and difficult to negotiate
  - Nontariff barriers (e.g., rules of origin, IP rights)
  - Over 1,200 agreements with 130 countries by 2024
  - Flexibility vs. constitutionality concerns
  - E.g., U.S.-Mexico-Canada Agreement

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What is the General Agreement on Tariffs and Trade?

- General Agreement on Tariffs and Trade (GATT)
  - Signed 1947, post-WWII; aimed to liberalize trade multilaterally
  - Agreement among member nations to decrease trade barriers and place all nations on equal footing in trade relations
  - Purpose was to reduce barriers
  - Place all nations on an equal footing in trading relations
  - Became World Trade Organization (WTO) in 1995 with dispute resolution focus

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Trade Without Discrimination

- MFN principle (normal trade relations)
  - Lower tariffs apply to all members
  - Exceptions for FTAs, developing nations
- National treatment principle
  - Equal treatment of imports post-entry
  - Example: Canada's 1990s tax on U.S. magazines violated GATT rules

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Promoting Freer Trade

- Another goal of GATT was to promote freer trade through its role in the settlement of trade disputes
  - Dispute Resolution: introduced panels; lacked enforcement (WTO fixed this)
  - Tariffs vs. Quotas: favored tariffs; quotas allowed for specific exceptions

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Predictability: Through Binding and Transparency

- Bindings
  - Tariff ceilings
  - Changes require compensation
- Transparency
  - Public trade rules
  - Enhanced market security

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Multilateral Trade Negotiations

- Trade negotiations were conducted on a multilateral basis that involved all GATT members participating in the negotiations
- GATT:
  - Evolved to include almost all the main trading nations, although some were non-members
  - Sponsored a series of negotiations to reduce tariffs and nontariff trade barriers

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Table 6.2 GATT Negotiating Rounds

Negotiating Round and Coverage	Dates	Number of Participants	Tariff Cut Achieved (%)
Addressed Tariffs			
Geneva	1947	23	21
Annecy	1949	13	2
Torquay	1951	38	3
Geneva	1956	26	4
Dillon Round	1960–1961	26	4
Kennedy Round	1964–1967	62	35
Addressed Tariff and Nontariff Barriers			
Tokyo Round	1973–79	99	33
Uruguay Round	1986–93	125	34
Doha Round	2002–terminated in 2015	149	—

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World Trade Organization

- International organization, headquartered in Geneva, Switzerland–established in 1995
- 2024: 164 nations, > 97 percent of world trade
- Governs conduct of trade relations among members
- WTO members bind their commitments and adhere to:
  - GATT rules
  - Broad range of trade pacts that have been negotiated under GATT auspices in recent decades

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World Trade Organization

- Multilateral trading system
- Administers a unified package of agreements to which all members are committed
- Watchdog of international trade

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World Trade Organization

- Individual nations free to set own appropriate levels of environmental, labor, health, and safety protections
- Oversees implementation of tariff cuts and reductions in nontariff barriers
- Reverses policies of protection in certain “sensitive” areas

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Settling Trade Disputes

- Major objective of WTO is to strengthen GATT mechanism for settling trade disputes
- Improvements: panels guaranteed; time limits; appellate body
- Process:
  - Consultations (60 days)
  - Panel/Appellate review
  - Retaliatory tariffs if unresolved
- Critique: Small countries are disadvantaged by retaliation

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Table 6.3 Selected WTO Trade Disputes Resulting in Trade Retaliations

Year of Alleged Violation	Defendant Country	Award by WTO Arbitrators to Complaining Country
1999	European Union (bananas)	$191.4 million to US
1999	European Union (beef hormones)	$116.8 million US
2000	US (foreign sales corporation tax breaks)	$4.04 billion to EU
2003	Canada (aircraft credits and guarantees)	$247.8 million to Brazil
2015	US (labeling regulations for meat products)	$805 million to Canada
2015	US (labeling regulations for meat products)	$227.8 million to Mexico

Source: Data taken from Chad Brown and Rachel Brewster, “U.S.-Cool Retaliation: The WTO’s Article 22.6 Arbitration,” *World Trade Review*, Vol. 16, Issue 2, April 2017.

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Does the WTO Reduce National Sovereignty?

- Pro:
  - U.S. retains control over laws
  - Benefits from rules
- Con:
  - Critics argue sovereignty undermined

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Does the WTO Harm the Environment?

- Critics:
  - Trade liberalization may lower environmental standards
- Supporters:
  - Growth drives demand for cleaner environments

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Future of the World Trade Organization

- Challenges:
  - Doha failure
  - Rise of regional deals
  - BRICs vs. rich nations
- Disputes:
  - Appellate court stalled (2019)
  - U.S. frustrations
- 2024 Conference: limited progress; multilateralism weakened

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WTO Rules Against China's Hoarding of Rare Earth Metals

- In 2011, the WTO ruled that China had no legal right to impose export restrictions on nine rare earth metals
- WTO Ruling: illegal discriminatory protectionism
- Impact:
  - Lower domestic prices
  - Higher global prices
  - China adjusted policy

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What is the Trade Promotion Authority (Fast-Track Authority)?

- The mechanism of trade-promotion authority (fast-track authority) was devised in 1974
  - President negotiates; Congress votes up/down
  - 60-day approval; 90-day vote post-negotiation
  - Example: U.S.-Mexico-Canada Agreement (2020)
  - Opposition: labor, environmental concerns

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What are Safeguards (the Escape Clause): Emergency Protection from Imports?

- In addition to WTO rules regarding unfair trade practices, U.S. has trade-remedy laws
- Laws include the escape clause (safeguards), countervailing duties, antidumping duties, and unfair trading practices

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What are Safeguards (the Escape Clause): Emergency Protection from Imports?

- Safeguards (the Escape Clause)
  - Temporary relief from import surges (up to 8 years)
  - U.S. International Trade Commission (USITC) petition; presidential action
- Example: 2018 solar cells/washing machines tariffs

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Table 6.4 Trade-Remedy Law Provisions

Statute	Focus	Criteria for Action	Response
Fair trade (escape clause)	Increasing imports	Increasing imports are substantial cause of injury	Duties, quotas, tariff-rate quotas, orderly marketing arrangements, adjustment assistance
Subsidized imports (countervailing duty)	Manufacturing production, or export subsidies	Material injury or threat of material injury	Duties
Dumped imports (antidumping duty)	Imports sold below cost of production or below foreign market price	Material injury or threat of material injury	Duties
Unfair trade (Section 301)	Foreign practices violating a trade agreement or injurious to U.S. trade	Unjustifiable, unreasonable, or discriminatory practices, burdensome to U.S. commerce	All appropriate and feasible action

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Table 6.5 Safeguard Relief Granted Under the Escape Clause: Selected Examples

Product	Type of Relief
Porcelain-on-steel cooking ware	Additional duties imposed for four years of $0.20, $0.20, $0.15, and $0.10 per pound in the first, second, third, and fourth years, respectively
Prepared or preserved mushrooms	Additional duties imposed for three years of 20%, 15%, and 10% ad valorem in the first, second, and third years, respectively
High-carbon ferrochromium	Temporary duty increase
Color TV receivers	Orderly marketing agreements with Taiwan and Korea
Footwear	Orderly marketing agreements with Taiwan and Korea

Source: From *Annual Report of the President of the United States on the Trade Agreements Program*, Washington, DC, Government Printing Office, various issues.

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What are Countervailing Duties: Protection against Foreign Export Subsidies?

- Another trade-remedy law relates to unfair trade in the form of foreign export subsidies
- Countervailing Duties
  - Offset foreign subsidies harming U.S. producers
  - U.S. Department of Commerce investigates
  - USITC assesses injury

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Lumber Imports From Canada

- The Canada-U.S. softwood lumber dispute has been ongoing since 1982
  - U.S. claims Canadian subsidies (low fees) since 1980s
  - 2022: countervailing and antidumping duties imposed
- Dispute remains unresolved, with duties continuing to be applied and reviewed annually

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Table 6.6 U.S. Antidumping Duties and Countervailing Duties on Canadian Softwood Lumber, 2022

Canadian Lumber Company	Antidumping Duty Rate (percent)	Countervailing Duty Rate (percent)	Combined Duty Rates (percent)
Canfor Corporation	4.92	.95	5.87
Resolute Forest Products Canada Inc.	4.76	10.10	14.86
West Fraser Mills Ltd.	4.63	3.62	14.86
J.D. Irving Ltd.	11.59	2.41	14.00
All others	4.76	3.83	8.59

Source: Data drawn from Government of Canada: Global Affairs Canada, *Softwood Lumber*, July 4, 2023,

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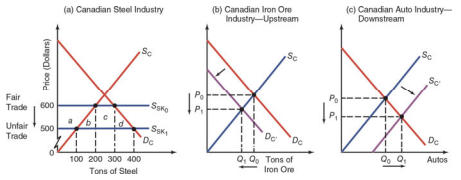
Remedies against Dumped and Subsidized Imports

- Direct effect of dumping and subsidizing imports is to lower prices, producing benefits and costs for the importing country
  - Benefits consumers, if imports are finished goods, and consuming industries that use imports as intermediate inputs (downstream industry)
  - Imposes costs on import-competing industry, its workers, and other domestic industries selling intermediate inputs of the import-competing industry (upstream industry)

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Figure 6.3 Effects of Dumped and Subsidized Imports and Their Remedies



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Section 301: Protection against Unfair Trading Practices

- Section 301 of the Trade Act of 1974 empowers U.S. Trade Representative (USTR) to respond to unfair trading practices by foreign nations
  - Foreign-trade restrictions that hinder U.S. exports
  - Foreign subsidies that hinder U.S. exports to third-country markets
- USTR can impose tariffs/import restrictions on products and services or deny foreign country trade-agreement concessions

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Section 301: Protection against Unfair Trading Practices

- Examples of USTR imposes tariffs/restrictions:
  - China (2017): technology-transfer tariffs
  - EU (2019): Airbus subsidies; $7.5B tariffs

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Protection of Intellectual Property Rights

- Intellectual property is an invention, idea, product, or process that has been registered with the government and awards the inventor (or author) exclusive rights to use the invention for a given period
- Governments use copyrights, trademarks, patents to protect intellectual property

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Protection of Intellectual Property Rights

- Copyrights: Protect works of original authorship for remainder of author's life plus 50 years
- Trademarks: Grant manufacturers exclusive rights to a distinguishing name or symbol
- Patents: Provide inventors exclusive rights to make, use, or sell inventions

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Table 6.7 Patents in Force by Selected Countries in 2018

Country	Number of Patents
United States	3,063,494
China	2,366,314
Japan	2,054,276
South Korea	1,001,163
Germany	703,606
France	602,084
United Kingdom	572,063
Switzerland	244,581

Source: From World Intellectual Property Organization, *Patents in Force: Total Count*, Statistics Data Center. See also World Intellectual Property Organization, *Statistical Country Profiles.*

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Table 6.8 Examples of Intellectual Property Right Violations in China

Affected Firm	Violation in China
Epson	Copying machines and ink cartridges are counterfeited.
Microsoft	Counterfeiting of Windows and Windows NT, with packaging virtually indistinguishable from the real product and sold in authorized outlets.
Yamaha	5 of every 6 JYM150-A motorcycles and ZY125 scooters bearing Yamaha's name are fake in China. Some state-owned factories manufacture copies for months following the introduction of a new model.

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Table 6.8 Examples of Intellectual Property Right Violations in China

Affected Firm	Violation in China
Gillette	Up to one-fourth of its Parker pens, Duracell batteries, and Gillette razors sold in China are pirated.
Anheuser-Busch	Some 640 million bottles of fake Budweiser beer are sold annually in China.
Bestfoods	Bogus versions of Knorr bouillon and Skippy Peanut Butter lead to tens of millions of dollars in forgone sales each year.

Source: From U.S. Trade Representative, *National Trade Estimate Report on Foreign Trade Barriers*, various issues, available at http://www.ustr.gov

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China's Piracy of Software

- China joined the WTO in 2001, committing to implement TRIPS standards
- Reasons:
  - Difficulty in convincing citizens that IPR piracy is illegal
  - Tolerance of IPR piracy to support economic growth and technological advancement
  - Pirated goods production provides jobs and tax revenues for local governments

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China's Piracy of Software

- Despite legislative improvements, enforcement remains inadequate
- Example: Microsoft losses; $2–3 for copies of Microsoft's Office and Windows programs

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What is Trade-Adjustment Assistance?

- 1962 Trade Expansion Act: Granted the president unprecedented authority to negotiate tariff reductions and establish trade adjustment assistance (TAA)
- TAA was part of a package to secure labor union support for tariff reductions
- Purpose:
  - To mitigate the negative effects of increased imports on domestic industries
  - Winners from trade can compensate losers while retaining benefits

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Trade Adjustment Assistance for Workers, Firms, Farmers, and Fishermen

- Goal of TAA is to help trade-affected workers return to suitable employment as quickly as possible
- Benefits available:
  - Assistance in preparing for and obtaining new employment
  - Weekly income-support payments
  - Reimbursement for relocation costs
  - Wage insurance available to older workers

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Industrial Policies of the United States

- Industrial policy involves government intervention to structure the economy in the national interest
- Methods used include subsidies, R&D, tariffs
- Proponents: The government must intervene because the free market may fail to invest in vital sectors
- Critics: The government is less effective than the free market in identifying promising firms and industries

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Biden's New Industrial Policy

- Vision (2021): Address market failures (e.g., supply chains)
- Signed three bills with significant implications for industrial policy
  - The CHIPS and Science Act ($280B)
  - The Inflation Reduction Act ($60B)
  - The Infrastructure Investment and Jobs Act ($110B)

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Should America Onshore Semiconductor Production? Economic Efficiency Versus National Security

- CHIPS Act (2022): Subsidies vs. efficiency trade-offs
  - Taiwan dominates; U.S. security risk
  - CHIPS Act provides federal subsidies to increase American semiconductor production capacity
  - Alternative would be to friendshore semiconductor production to countries like South Korea, Japan, and Malaysia

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The Future of U.S. Industrial Policy

- Proponents: New era for security, competitiveness
  - Government would support sectors and companies for reasons of competitiveness, national security, public health, and the environment
- Skeptics: risks to allies, efficiency; China not a model
  - Important to get right the goals and tools of industrial policy, so that it is effective and consistent with its international commitments

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The Export-Import Bank

- The Export-Import Bank (Eximbank)
  - Subsidizes exports (e.g., Boeing loans)
- Costs of the loan guarantee
  - Taxpayer risk
  - Higher consumer prices for goods that are made artificially expensive by the subsidies
  - Other borrowers lose out on investment capital

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Table 6.9 Examples of Loans Provided by Eximbank of the United States

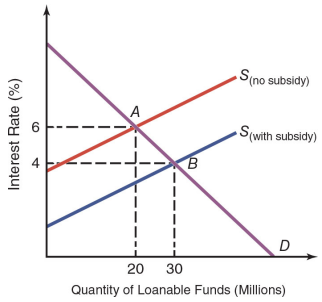
Foreign Borrower–U.S.	Exporter Purpose
Banco Santander Noroeste of Brazil–General Electric	Locomotives
Government of Bulgaria–Westinghouse	Instruments
Air China–Boeing Japan Airlines–Boeing Aircraft	Aircraft
Government of Croatia–Bechtel International	Highway construction
Government of Ghana–Wanan International	Electrical equipment
Government of Indonesia–IBM	Computer hardware
Fevisa Industrial of Mexico–Pennsylvania Crusher Inc.	Glass-manufacturing equipment
Delta Communications of Mexico–Motorola	Communications equipment

Source: From Export-Import Bank of the United States, *Annual Report*, various issues,

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Figure 6.4 Economic Effects of a Loan Guarantee



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U.S. Airlines and Boeing Spar Over Export-Import Bank Credit

- 2014: U.S. airlines opposed cheap credit from Eximbank to foreign countries and companies
  - Credit extended at below-market rates
  - Puts U.S. airline industry at cost disadvantage
- Delta: Export credit helps Boeing AND negatively affects U.S. airline industry
- Boeing: Curtailing export credit would jeopardize U.S. aerospace competitiveness

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Strategic Trade Policy

- The strategic trade policy concept applies to firms in imperfectly competitive markets
- According to the strategic trade policy concept, government can:
  - Alter the terms of competition to favor domestic companies and shift economic profits to domestic companies
  - Assist firms in capturing economic profits from foreign competitors

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Strategic Trade Policy

- Risks:
  - Special-interest groups may dictate who will receive government support
  - Worldwide retaliation and counter-retaliation
  - Governments lack information to intervene intelligently in market

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Figure 6.5 Effects of a European Subsidy Granted to Airbus

Hypothetical Payoff Matrix: Millions of Dollars

Without Subsidy

		Airbus: Produces	Airbus: Does Not Produce
Boeing	Produces	Airbus −5, Boeing −5	Airbus 0, Boeing 100
Boeing	Does Not Produce	Airbus 100, Boeing 0	Airbus 0, Boeing 0

With European Subsidy

		Airbus: Produces	Airbus: Does Not Produce
Boeing	Produces	Airbus 5, Boeing −5	Airbus 0, Boeing 100
Boeing	Does Not Produce	Airbus 110, Boeing 0	Airbus 0, Boeing 0

Source: Paul Krugman, "Is Free Trade Passe?" *Economic Perspectives*, Fall 1987, pp. 131–144.

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What Are Economic Sanctions?

- Government-mandated limitations placed on trade/financial restraints imposed on foreign nations
- Comprehensive sanctions:
  - Broad-based trade restrictions that limit commercial activity with an entire country
- Targeted sanctions:
  - Restrict transactions with specific persons or entities of a target country

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Table 6.10 Selected Economic Sanctions of the United States

Year	Target Country	Objectives
2014, 2022	Russia	Discourage annexation of Crimea and warring against Ukraine
1998	Pakistan and India	Discourage nuclear proliferation
1993	Haiti	Improve human rights
1992	Serbia	Terminate civil war in Bosnia-Herzegovina
1990	Iraq	Terminate Iraq's military takeover of Kuwait
1987	Iran	Discourage nuclear proliferation
1985	South Africa	Improve human rights
1981	Soviet Union	Terminate martial law in Poland
1979	Iran	Release U.S. hostages; settle expropriation claims
1961	Cuba	Improve national security

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Trade Sanctions

- Effect: reduces target's output (e.g., Russia oil sanctions)
- Goal: economic hardship to alter behavior
- Types:
  - Boycotts on exports
  - Quotas on imports

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Financial Sanctions

- Financial sanctions:
  - Asset freezes, loan bans
  - Damages the target economy by reducing supply of loanable funds or capital
  - Results in an increase in interest rates leading to adverse effects on the real economy

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Factors Influencing the Success of Sanctions

- Factors:
  - Multilateral support
  - Degree to which target nation has economic and political ties to imposing nation(s)
  - Extent of political opposition in target nation
  - Cultural factors in the target nation
- Example: South Africa (1980s) success

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Iranian Sanctions

- Started 1979; intensified 2006 (nuclear)
  - **2015:** Iran reached an agreement with the United States and its allies
  - **2018:** The United States canceled the agreement and reimposed sanctions against Iran
  - **2021:** Biden administration lifted some sanctions against Iran amid stalled nuclear negotiations

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North Korean Sanctions

- Since 1950; escalated 2017 (missiles)
- Kim Jong Un met with Donald Trump in 2018 and 2019 to discuss the prospects for denuclearization
  - Summits ended without a deal as Kim apparently insisted on sanctions being removed before committing to significant progress on denuclearization
  - Trump was unwilling to lift the sanctions until significant progress on denuclearization had occurred

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Russian Sanctions

- Financial sanctions targeted Russia's central bank, financial sector, and access to international capital
- Trade sanctions targeted exports and imports
- Weaknesses of the sanctions program showed that Russia was good at absorbing the blow of embargos and marshalling resources

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